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9th Circuit sides with X, blocks California law on content moderation

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A 2022 California law requiring major social media companies to disclose their policies on posting and removing content such as hate speech, harassment and disinformation was blocked Wednesday by a federal appeals court, which said it appears to violate freedom of expression.

The law's edicts "require a company to recast its content-moderation practices in language prescribed by the State, implicitly opining on whether and how certain controversial categories of content should be moderated," said the 9th U.S. Circuit Court of Appeals. The court told a federal judge in Sacramento, who had previously left the law in place, to issue an injunction against the main parts of the law and to decide whether any of it could be preserved.

The bill, AB587 by Assembly Member Jesse Gabriel, D-Encino (Los Angeles County), sailed through the Legislature on nearly unanimous votes in 2022 and was signed by Gov. Gavin Newsom.

It required social media companies with at least $100 million a year in revenue to disclose their terms of service and their policies for allowing, barring or "flagging" — posting warning labels — for their content. The law also required the companies to issue reports every six months on how they handled certain categories of content, including hate speech or racism, extremism, disinformation, harassment and foreign political interference.

It was challenged in court by Elon Musk's platform X, formerly known as Twitter. U.S. District Judge William Shubb denied an injunction last December, saying the law only required the companies to reveal their content-moderation policies, disclosures he described as "purely factual" and "uncontroversial."

But the appeals court said Wednesday that AB587 is more far-reaching and requires major social media platforms to "reveal (their) policy opinion about contentious issues, such as what constitutes hate speech or misinformation," and whether to allow such expression, with or without warning labels.

"No matter how a social media company chooses to moderate such content, the company will face backlash from its users and the public," Judge Milan Smith wrote in the 3-0 ruling.

He said the disclosure requirements are "more extensive than necessary to serve the State's purported goal of 'requiring social media companies to be transparent about their content-moderation policies and practices so that consumers can make informed decisions about where they consume and disseminate news and information,'" quoting from the law.

Smith, appointed by President George W. Bush, was joined by Judges Mark Bennett, appointed by President Donald Trump, and Anthony Johnstone, appointed by President Joe Biden. They said Shubb should now decide whether less contentious sections of the law, such as the requirement to disclose terms of service, should be reinstated.

Last month, the same appeals court panel upheld most of another federal judge's decision to block a state law that would require online businesses to protect users younger than 18 from harmful information or other content. The court said the law, due to take effect this past July, violates the First Amendment by requiring companies to decide whether youngsters may be harmed by material they encounter online and to take steps to shield them from harm.

Musk, angered by California's liberal policies — such as a law banning schools from requiring teachers to inform parents of their student's change in gender identity — announced in July that he was moving the headquarters of X from California to Texas.

His lawsuit against AB587 drew support from a variety of advocates, including the conservative Washington Legal Foundation, the liberal Electronic Frontier Foundation and the business-sponsored U.S. Chamber of Commerce.

"Across the political spectrum, there was concern that California was trying to compel disclosure of platforms' views on topics that are the center of our dialogue about compelled speech," Aaron Mackey, an attorney for the Electronic Frontier Foundation who took part in its legal filing in the case, said Wednesday.

California was joined by 17 other states and the District of Columbia in defense of the challenged law.

"Enabling consumers to inform themselves about platforms' own content-moderation processes ... without ever dictating what those content-moderation processes must be — enables consumers to make the best decisions for themselves and for their children," Attorney General Rob Bonta's office said in a court filing.

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